



Hero Motors +20%: Why *upside is*

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The Retail *vs Institutional* Reality Check

✗ RETAIL ILLUSION

Retail belief: A 20% circuit confirms fundamental strength and guaranteed momentum.

✓ INSTITUTIONAL TRUTH

Institutional truth: A 69% vertical spike from ₹84 to ₹141.85 often signals a low-float liquidity squeeze used for institutional exit engineering.



The 20%

Friction Penalty

VERIFIED MARKET IMPACT

₹34 Lakhs

Estimated retail capital erosion per high-volume exit

When retail chases a 20% vertical rally, they absorb the liquidity provided by institutional sellers. This mathematical friction occurs as the stock hits premium valuation caps, leading to inevitable multiple compression.



The Liquidity *Trap Mechanism*

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How Capital *is Quietly* Extracted

By buying at the peak of a 20% surge, you are purchasing at a premium valuation that lacks quarterly earnings support. As the stock stabilizes, the price reverts to the mean, effectively transferring your capital to early institutional investors who exited at the top.



The Non-Negotiable

Institutional Rule

Never chase vertical 20% rallies on newly listed IPOs. Institutional pros wait for price stabilization and proven quarterly earnings support before entering. If the chart looks like a vertical line, the risk-to-reward ratio is mathematically broken.



Your Pre-Trade **Risk Checklist**

- ✗ Is the stock up 20% in a single session?
- ✗ Are there verified quarterly earnings to support this valuation?
- ✗ Has the stock price stabilized post-IPO?



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COMMUNITY DEBATE

Have you experienced this trap? Drop your experience in the comments below 🙌

